聯詠科技股份有限公司
NOVATEK MICROELECTRONICS CORP.

FOR IMMEDIATE RELEASE May 7th, 2024

David Chen
Novatek, Investor Relations
Phone: +886 3 567 0889 ext 25212
Contact : ir@novatek.com.tw
Website : www.novatek.com.tw

Novatek Announces 2024 First Quarter Consolidated Financial Result & 2024 Second Quarter Outlook:

First Quarter Revenue & PAT Reached NT$24.43B & NT$4.89B Respectively With EPS of NT$8.04

Hsin-chu, Taiwan, ROC – May 7th, 2024 – Novatek (TSE:3034), a leading global smart display and image total solution provider, today announced its first quarter consolidated financial result of 2024 and the second quarter outlook at the analyst meeting.

The first quarter revenue was down by 10.04% quarter-over-quarter to NT$24.43 billion from NT$27.15 billion in Q4'23, and increased by 1.59% year-over-year from NT$24.05 billion in Q1'23. The first quarter revenue decreased sequentially, due to slow seasonality and fewer working days during Lunar New Year. The first quarter gross margin came down quarter-over-quarter to 41.09% from 41.48% in Q4'23, but exceeded the guidance due to the improved product mix and higher-than-expected NRE.

First quarter operating expenses decreased quarter-over-quarter to NT$4.89 billion from NT$4.96 billion in Q4'23 and increased year-over-year from NT$4.42 billion in Q1'23. First quarter operating income decreased quarter-over-quarter to NT$5.14 billion from NT$6.31 billion in Q4'23 and decreased year-over-year from NT$5.66 billion in Q1'23.

Novatek's 2024 Q1 net income decreased by 8.15% quarter-over-quarter to NT$4.89 billion, and increased by 2.98% year-over-year from NT$4.75 billion in Q1'23. Earnings per share for Q1'24 were NT$8.04, compared with NT$8.76 in Q4'23.

Novatek's Board of Directors proposed a cash dividend of NT$32.0 per common share, with total amount of NT$19,472,367,008, which resulted in a payout ratio of 83.51%.

Management expects overall performance for the second quarter of 2024 to be as followings:
Revenue is expected to be between NT$24.4billion and NT$25.5billion
Gross profit margin is expected to be between 38.5% and 40.5%
Operating profit margin is expected to be between 19% and 21%

聯詠科技股份有限公司
NOVATEK MICROELECTRONICS CORP.

Sales & Profits

Million NT dollars	1Q'24	QoQ	4Q'23	1Q'23	YoY
Net Sales	24,428	-10.04%	27,154	24,046	1.59%
Net Gross Profit	10,038	-10.88%	11,264	10,079	-0.41%
(Margin %)	41.09	-0.39p	41.48	41.91	-0.82p
Operating Income	5,144	-18.43%	6,306	5,662	-9.14%
Net Income	4,894	-8.15%	5,328	4,752	2.98%
EPS (NT$)	8.04	-0.72	8.76	7.81	0.23

Sales Breakdown by Product

Million NT dollars	1Q'24	QoQ	4Q'23	1Q'23	YoY
SoC	9,520	-0.81%	9,598	9,400	1.28%
Driver IC	14,537	-15.57%	17,218	14,508	0.20%
Total	24,057	-10.29%	26,816	23,908	0.62%

About Novatek

Novatek is a trustworthy partner and a dedicated total solution provider in the Smart Imaging and Smart Display technology. Established in 1997, the company is the world's largest supplier of display related chips and is ranked as the world 8th largest and Taiwan 3rd largest IC fabless design company in terms of sales revenue in 2022 (TW. 3034). For more information, please visit the company's website at www.novatek.com.tw.



Novatek Microelectronics Corp.
Financial Report 2024 Q1



Issued in May 2024

Monthly Sales

MNT$

	2024	2023	+ (-) %
January	8,720	7,223	21%
February	7,133	7,641	-7%
March	8,575	9,181	-7%
April	8,329	9,961	-16%
May		10,225	
June		10,112	
July		9,675	
August		9,694	
September		9,561	
October		9,526	
November		8,949	
December		8,679	
Total:	32,757	110,429	-70%
Jan.~Apr.	32,757	34,007	-4%

Sales Breakdown By Products

MNT$

Product	2024/Q1		2023/Q4		2023/Q3		2023/Q2		2023/Q1	
	AMT	%	AMT	%	AMT	%	AMT	%	AMT	%
SOC	9,520	39	9,598	35	11,082	38	11,059	37	9,400	39
DRIVER	14,537	60	17,218	63	17,877	62	19,327	64	14,508	60
Total:	24,057	98	26,816	99	28,959	100	30,386	100	23,908	99
OTHERS	462	2	489	2	78	0	51	0	265	1
Return & Allowance	(91)	(0)	(150)	(1)	(107)	(0)	(138)	(0)	(127)	(1)
Grand Total:	24,428	100	27,154	100	28,930	100	30,299	100	24,046	100
Growth	-10%		-6%		-5%		26%		7%	

Consolidated Income Statement (YoY)

(Expressed In New Taiwan Thousand Dollars)

	2024/1-3	%	2023/1-3	%	Growth %
Net sales	24,427,885	100.00	24,045,882	100.00	**1.59**
Cost of good sold	(14,390,210)	(58.91)	(13,967,079)	(58.09)	3.03
Gross Profit	10,037,675	41.09	10,078,803	41.91	(0.41)
Operating Exp.	(4,893,384)	(20.03)	(4,416,839)	(18.37)	10.79
Selling & Adm.	(709,312)	(2.90)	(643,305)	(2.68)	10.26
R & D Exp.	(4,184,072)	(17.13)	(3,773,534)	(15.69)	10.88
Operating Income	5,144,291	21.06	5,661,964	23.54	(9.14)
Net Non-Operating	756,177	3.09	200,665	0.84	276.84
Income Before Tax	5,900,468	24.15	5,862,629	24.38	0.65
Income Tax Exp.	(1,006,835)	(4.12)	(1,110,793)	(4.62)	(9.36)
Net Income	4,893,633	20.03	4,751,836	19.76	**2.98**
EPS	**8.04**		**7.81**		

Consolidated Income Statement (QoQ)

(Expressed In New Taiwan Thousand Dollars)

	2024/Q1	%	2023/Q4	%	Growth %
Net sales	24,427,885	100.00	27,153,825	100.00	**(10.04)**
Cost of good sold	(14,390,210)	(58.91)	(15,890,226)	(58.52)	(9.44)
Gross Profit	10,037,675	41.09	11,263,599	41.48	(10.88)
Operating Exp.	(4,893,384)	(20.03)	(4,957,321)	(18.26)	(1.29)
Selling & Adm.	(709,312)	(2.90)	(678,719)	(2.50)	4.51
R & D Exp.	(4,184,072)	(17.13)	(4,278,602)	(15.76)	(2.21)
Operating Income	5,144,291	21.06	6,306,278	23.22	(18.43)
Net Non-Operating	756,177	3.09	23,747	0.09	3,084.31
Income Before Tax	5,900,468	24.15	6,330,025	23.31	(6.79)
Income Tax Exp.	(1,006,835)	(4.12)	(1,002,071)	(3.69)	0.48
Net Income	4,893,633	20.03	5,327,954	19.62	**(8.15)**
EPS	**8.04**		**8.76**		

Financial Numbers

(Expressed In New Taiwan Thousand Dollars)

	2024/3/31	2023/12/31	2023/9/30	2023/6/30	2023/3/31
Cash and Cash Equivalents	57,323,668	53,889,468	45,583,206	63,437,035	56,994,035
Short Term Loans	0	0	0	0	0
Net Cash	57,323,668	53,889,468	45,583,206	63,437,035	56,994,035
QoQ Change	3,434,200	8,306,262	(17,853,829)	6,443,000	7,823,142
Notes & Accounts receivable	17,029,983	16,934,522	20,611,687	20,557,090	16,947,416
QoQ Change	95,461	(3,677,165)	54,597	3,609,674	1,182,905
Inventory	9,102,549	8,551,098	9,115,106	10,516,018	10,591,430
QoQ Change	551,451	(564,008)	(1,400,912)	(75,412)	(1,437,441)